University of Toronto

Faculty of Applied Science and Engineering

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Consulting Team 09

Consulting Report

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Project Title	Consulting Report
Client	Yanana Kitchens Co.
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Executive Summary

This document will aim to guide Yanana Kitchens Co. through reducing the turnover rate in their restaurant employees. Only the existing restaurants are in scope. This excludes any possible expansions, who is hired, and industry practices.

Yanana Kitchens Co. is a mid-sized East Asian-American restaurant chain, operating 82 locations across the continental United States of America, with 37 restaurants in New York State. The client's problem lies in the high turnover rate, costing 1.5 million in increased hiring costs, lowering customer satisfaction, and disrupting workflow for the remaining workers.

There are six segments to this document, an introduction, problem analysis, solution proposal, implementation plan, cost-benefit analysis, and a conclusion. All facets were well researched, connecting this project to commonly praised industry leaders. The design space was fully explored using blue-sky thinking. The final choice was crafted out of the most feasible parts of the created solutions.

The solution chosen focuses more on the human aspect of restaurants and employee retention. Following the lead of many well-known food service companies, full-time workers will be encouraged to enjoy the workspace and maintain professionalism for the sake of increasing personal satisfaction. Part-time workers will be paid a competitive salary on top of earning tips if the job requires customer interaction. Back-end staff will have the opportunity to grow to higher positions in the kitchen. Standardized policies, updated training, and raises given according to employee seniority and performance, and the cost of living in specific regions will stabilize the restaurant's brand consistency.

Next steps include marketing Yanana Kitchens Co. as an excellent employer with opportunity and high employee satisfaction. Ensuring quality checks, long-term financial benefit, and a streamlined process for training new staff and opening new locations will be essential for securing the solution's success.

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1.0 Introduction

Yanana Kitchens Co., an East Asian-American casual dining chain based out of New York, has recently expanded to 82 locations employing 2800 workers nationwide [1]. Positions offered by this chain include externally hired waiting staff, cashiers, and cooks, overseen by managers. This document focuses on the analysis and implementation of improving turnover rates at this establishment.

2.0 Problem Analysis

The problem analysis includes the gap, need, scope, criteria and constraints.

2.1 Problem Statement

After expanding their restaurant to 82 locations nationwide, Yanana Kitchens Co. has been faced with a high employee turnover increase with a 120% turnover rate in the past fiscal year [1]. Exit surveys from employees have shown that employees are unhappy with pay and schedule flexibility, creating a team dynamic that doesn't keep employees satisfied.

There is a gap in employee retention which results in a need for a standardized strategy to increase employee satisfaction. The scope of this project includes what the Human Resources sector of Yanana Kitchens Co. mandates including new processes and adjustments to current standards. However, who the company hires as employees, how their career advances, and the company's regional expansion is out of scope.

2.2 Criteria and Constraints

Table 1: Solution Criteria and Constraints

	Criteria or Constraint	**Goal**	**Justification**
C.1	Decrease turnover rate	Decrease annual by approximately 11% of previous year's turnover	Starbucks reduced its turnover rate from 65% in 2022 to 58% in 2023, 89% of the turnover in 2022. Its well-praised employee satisfaction policies resulted in a turnover

			rate 18% lower than the 2022 industry standard average of 83.4%. [2][3][4].
C.2	Easily scalable amongst all restaurants	Standardized across all restaurants	As an example, Starbucks has expanded internationally through standardization of quality and taste to over 35,000 stores.
C.3	Decrease hiring and onboarding costs	Approximately $160,000 annually	Yanana Kitchens employs 2800 front-line staff across all locations [1]. A 120% turnover means 3360 workers are replaced every year. 1.5 million dollars means about 447 dollars are being spent per hire. If turnover is reduced to 11% as planned in C.1, there will be a decrease in onboarding costs by 175 thousand just in the first year, as well as about 160 thousand annually after (Appendix B)[1].

3.0 Solution Proposal

The chosen solution includes new policies and an updated chain of command in terms of wages and salary.

3.1 New Internal Policies

1. Policy 1. All full time employees receive the option to sign up for childcare and healthcare at least 60 days after their employment start date. This period cannot exceed 90 days per the Affordable Care Act [5]. The company will pay for 50% of fees. The Boston Consulting Group states that when included in employment packages, retention is improved and recruitment is increased [8].
2. Policy 2. All employees are mandated to take paid 10 minute breaks every shift in addition to state labor laws.
3. Policy 3. All full time employees are guaranteed unpaid time off on their birthdays.

4. Policy 4. On the last day of each month, the “Employee of the Month” is announced. For every two times an employee receives EOTM, they receive a 50 cent raise. (Salary employees are not eligible)
5. Policy 5. Full time employees get one week of paid time off. [6]

3.2 Improved Chain of Command

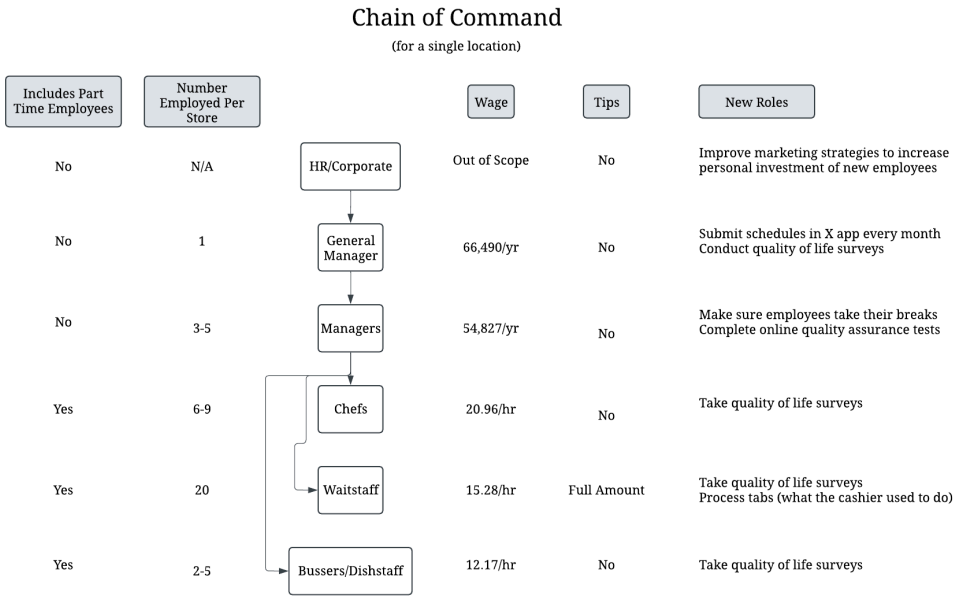


Figure 1. Proposed chain of command. Made with LucidChart.

Waitstaff will now process cheques allowing the previous cashiers to be internally rehired about the company. Since most waitstaff are part-time, the increased number will allow for short-notice shift calls if workers have emergencies or call in sick. The number of workers per shift will remain consistent with prior operation. It is assumed that bussers and dishstaff existed in the company prior. There will be Assistant General Managers, Sous Chefs, and Head Waitstaff, but assigning their roles is out of scope. Corporate roles and salaries are also out of scope. Salaries were determined based on calculations from Appendix C.

Greater attention will be paid to the first three months of an employee's work period, as it is known to corporate food service companies that adequate training and technology given to a new employee improves retention rates [14]. Autonomy will be provided to employees through an app, where they can request to swap shifts, call in sick, and note availability, similar to 7Shifts [15]. Managers can send out schedules on the app and have direct contact with each worker for greater efficiency in communication.

4.0 Implementation Plan

The solution will be implemented through a series of larger shifts in the first six months, followed by a consistent effort towards sustainable working environments.

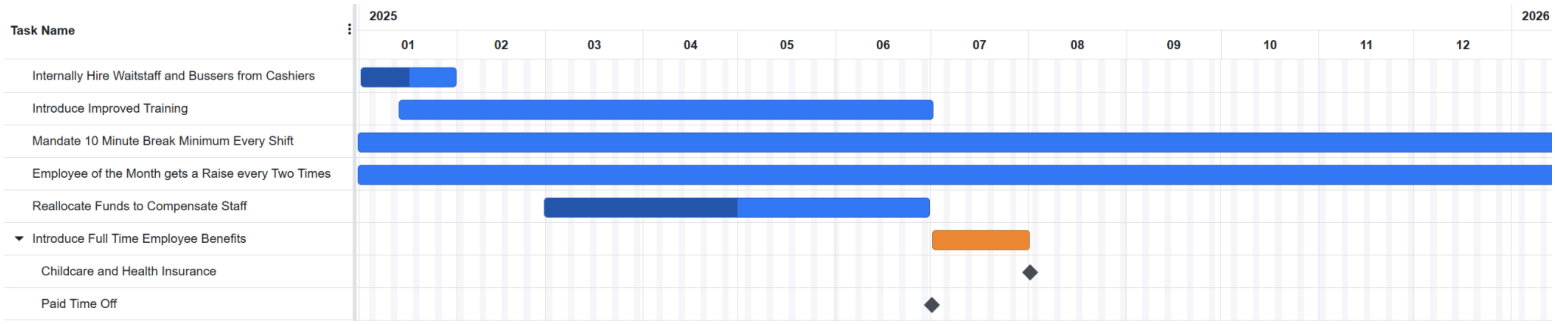


Figure 2. Gantt chart showing the implementation of all parts of the advised plan. Made with onlinegantt.

In smaller restaurants, the process may be more easily applicable. Larger restaurants may have a harder time adopting new policies and strategies, as they will have a greater number of employees. The lengthened timeline is to allow headquarters and struggling locations time to catch up to the more streamlined restaurants.

Scheduling apps are easy to implement, as it only requires an installation and signup.

5.0 Cost-Benefit Analysis

Costs		
	Annual	Notes:
Toast POS System Implementation	$840	-Monthly subscription of $70
Hiring Cost per employee	$16092	-Assuming 36 new hires per year due to turnover x $447 cost per hire
Paid Overtime	78851.51	-Overtime = 10% of annual salary payout
Healthcare & Childcare Benefits	$138358.50	-Assuming company pays 50% of the average
Parttime Salaries	$185848	annual US childcare cost and 1/4 of our 14 full-time employees have children
Fulltime Salaries	$602667	-Annual salary pay out =$788515
Total	$1022657.01	

Figure 3. Annual Costs of running one location calculated. Made with Google Sheets.

The total cost calculated of $1022657.01 (Figure 3) includes salaries and restaurant running fees, Increased benefits and higher salaries directly increase employee satisfaction, resulting in a higher retention rate. This will indirectly decrease hiring cost per employee over time, resulting in a gradual reduction of Yanana's current hiring cost of $1.5 million [1]. Additionally, child and healthcare is tax deductible resulting in an indirect ROI for Yanana Kitchens Co. through an estimated tax savings of $36045.21 annually (Appendix D).

6.0 Conclusion

This document details the problem Yanana Kitchens Co. is experiencing with employee retention, and some suggestions as to how to solve it. The process includes a problem analysis, including a statement and the criteria and constraints regarding the problem, followed by a solution generated with techniques such as blue-sky thinking, and implementation plan, presented with a Gantt chart. A next step for the company is quality monitoring, which will ensure the health of the company, management, and employees.

Appendix and References

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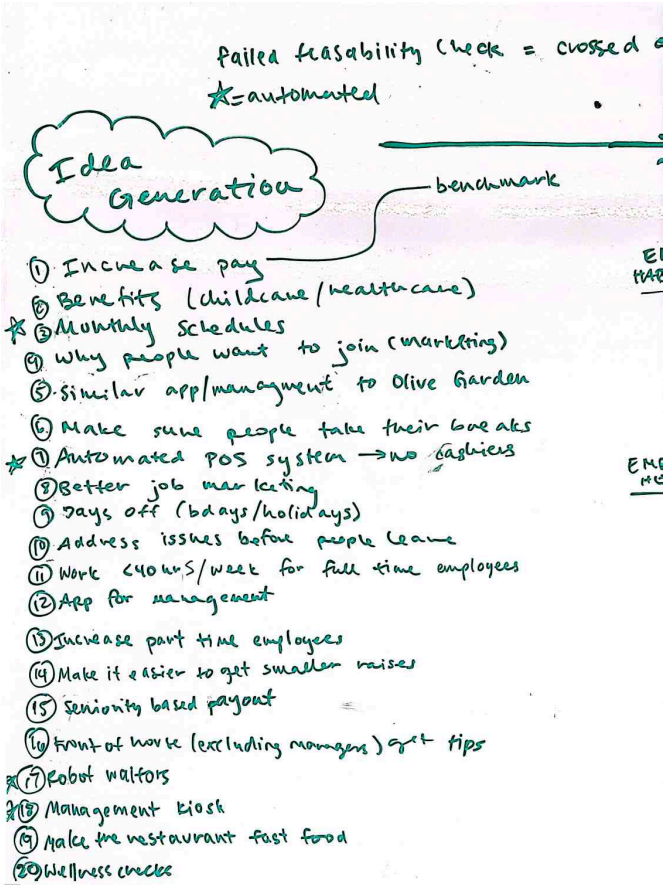
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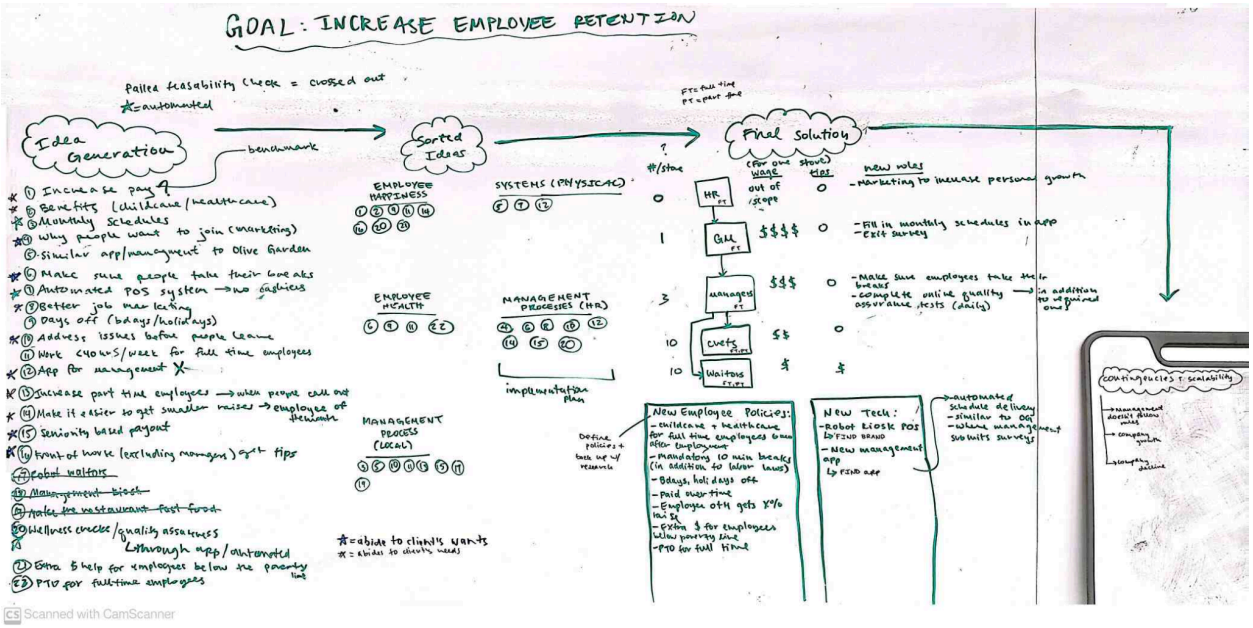
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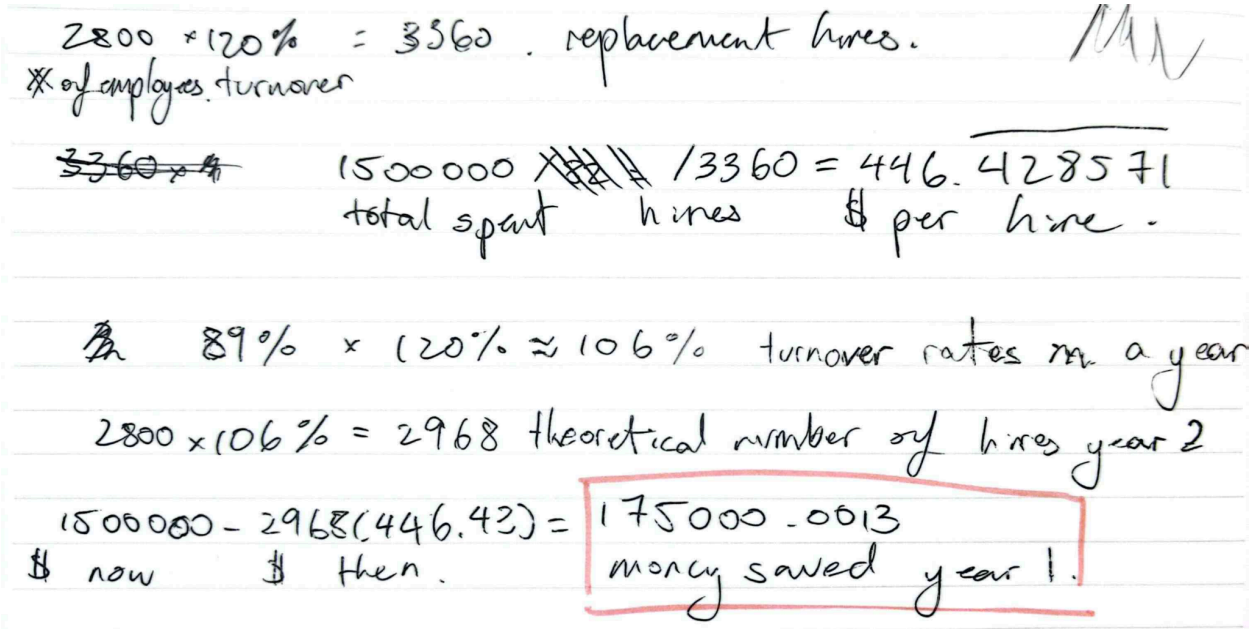
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Appendix A: Idea generation





Appendix B: Hiring Cost Decrease Calculations



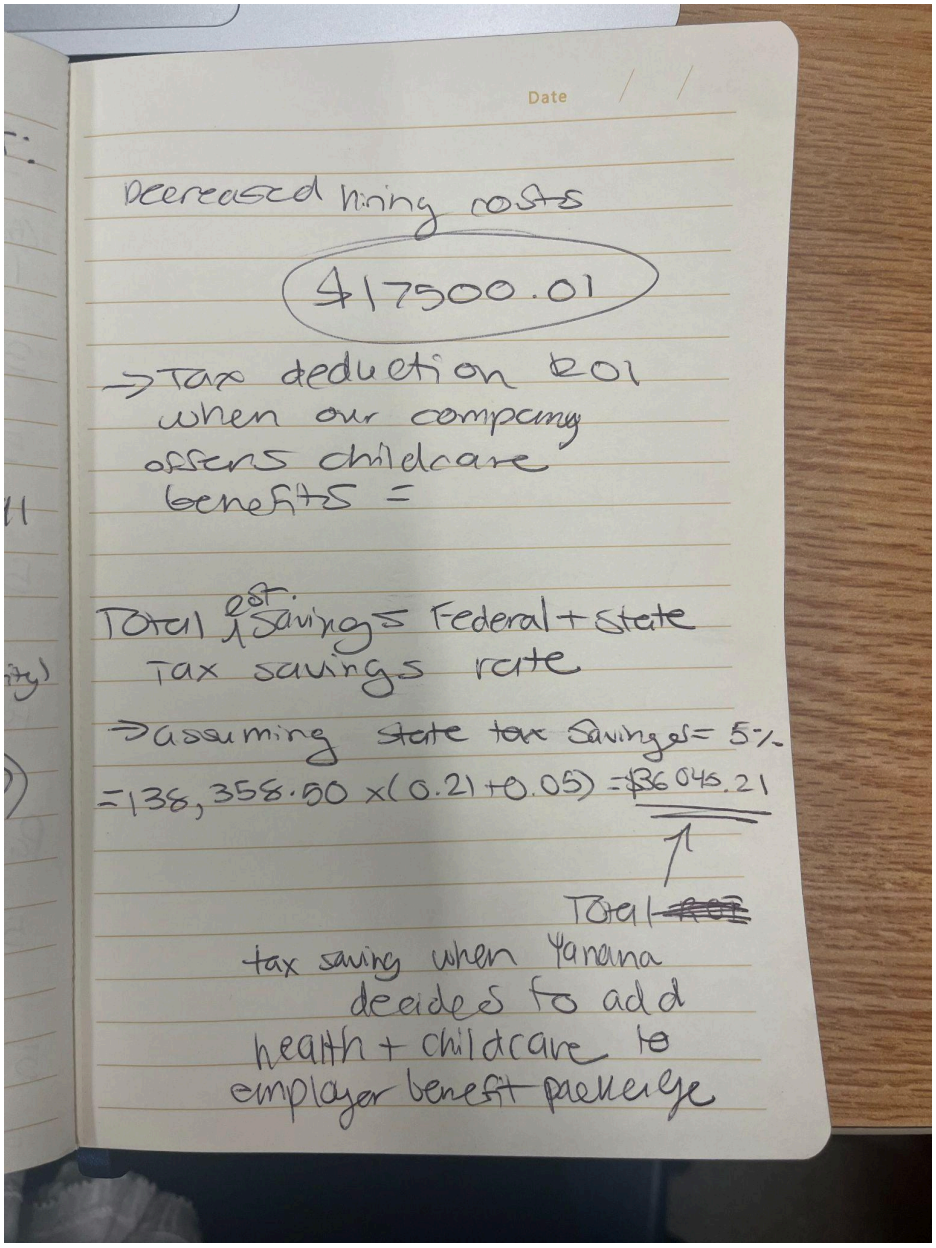
Appendix C: Average Salary Per Employee

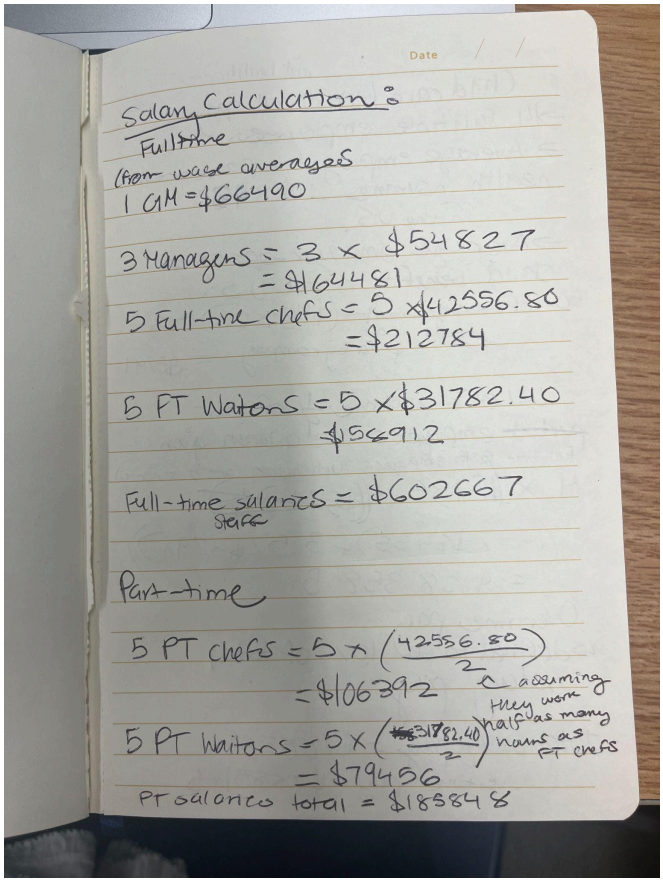
	General Manager	Regular Manager	Line Cooks	Waitstaff	Bussers
Applebees	71784	56248	22.56	18.88	13.05
Olive Garden	61159	61877	23.22	15.15	14.25
Red Lobster	70666	56151	22.68	11.8	10.68
iHop	62354	45033	15.4	15.08	10.68
Average	*66490*	*54827*	*20.96*	*15.28*	*12.17*

Red headings indicate salary workers whereas black headings indicate hourly workers.

Restaurants were chosen based on similar casual dining style and price point [10][11][12][13].

Appendix D: Cost-Benefit Analysis Calculations





Salary Calculation:

Full-time

(from wage averages)

1 GM = $66490

3 Managers = 3 × $54827
= $164481

5 Full-time chefs = 5 × $42556.80
= $212784

5 FT Waitons = 5 × $31782.40
$158912

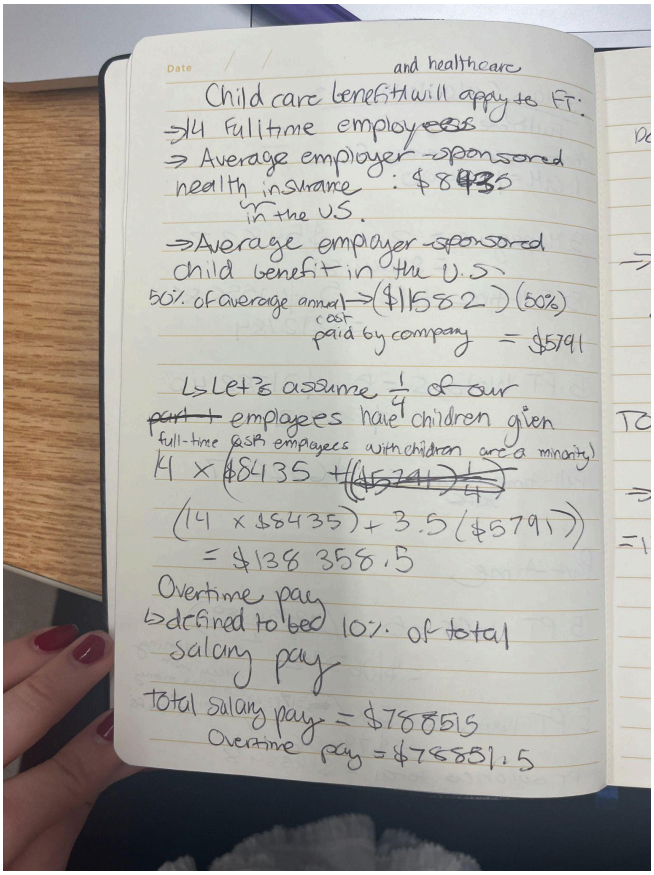
Full-time salaries = $602667
staff

Part-time

5 PT chefs = 5 × ($42556.80 / 2)
= $106392
↳ assuming they work half as many hours as FT chefs

5 PT Waitons = 5 × ($31782.40 / 2)
= $79456

PT salaries total = $185848



and healthcare

Child care benefit will apply to FT.

→ 14 Full-time employees

→ Average employer-sponsored health insurance in the U.S.: $8435

→ Average employer-sponsored child benefit in the U.S.

50% of average annual cost paid by company → ($11582)(50%) = $5791

↳ Let's assume 1/4 of our employees have children given (full-time parents employees with children are a minority)

14 × $8435 + (($5791) / 4)

(14 × $8435) + 3.5($5791)

= $138 358.5

Overtime pay

↳ defined to be 10% of total salary pay

total salary pay = $788515

Overtime pay = $78851.5